

Amendment No. 1 to HB2549

Crawford
Signature of Sponsor

AMEND Senate Bill No. 2235*

House Bill No. 2549

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Title 3, Chapter 6, is amended by adding the following as a new part:

3-6-401. Short title – Part definitions.

(a) This act is known and may be cited as the "Foreign Agent Registration Act."

(b) As used in this part:

(1) "Agent of a foreign adversary" means an individual who engages in political activity in this state on behalf of an entity listed in subdivision (b)(1)(A) or (B) and:

(A) Who acts as an agent, employee, representative, or servant, or otherwise acts at the order, request, or under the direction or control of:

(i) A foreign adversary;

(ii) A foreign-supported political organization;

(iii) A legal entity organized under the laws of or having its principal place of business in a foreign adversary country; or

(iv) A legal entity that is at least twenty percent (20%) beneficially owned by a foreign adversary, a nonresident alien of a foreign adversary country, or an entity organized under the laws of or having its principal place of business in a foreign adversary country; or

(B) Whose actions are financed in whole or in part by a foreign adversary;

(2) "Foreign adversary" means a foreign government, country, or non-government entity designated by the United States department of commerce pursuant to 15 CFR Part 791, Subpart A, as amended, transferred, or succeeded;

(3) "Foreign-supported political organization":

(A) Means a political party or a domestic partnership, association, corporation, organization, or other combination of persons that has, within the past five (5) calendar years, received money or other things of value from a foreign adversary or from an agent of a foreign adversary and that engages in political activity; and

(B) Does not include:

(i) An industry, trade, or other professional association that exists to promote the interests of its members, or any affiliated organization; or

(ii) A membership organization formed on or before January 1, 1950, that advocates on behalf of the common goals or interests of its members on matters of public policy, or any affiliated organization; and

(4) "Political activity" means an activity that is performed to influence an agency or public official of this state, a local governmental entity within this state, or the public within this state, with reference to formulating, adopting, or changing the policies or laws of this state, supporting or opposing a candidate for local or state public office, or supporting or opposing a ballot measure.

3-6-402. Registration of representatives of hostile foreign principals.

(a) A person shall not act as an agent of a foreign adversary unless the person has filed with the Tennessee ethics commission a true and complete registration statement and supplements to such statements as required by this part.

(b) A person shall, within seven (7) days after becoming an agent of a foreign adversary, file with the Tennessee ethics commission a sworn registration, under penalty of perjury, on a form prescribed by the Tennessee ethics commission. The obligation of an agent of a foreign adversary to register, after the seventh day of becoming an agent, continues from day to day, and the termination of such status does not relieve such agent from the obligation to register for the period during which the person was an agent of a foreign adversary.

(c) The registration must include the following:

(1) The registrant's name, principal business address, and all other business addresses in the United States or elsewhere, telephone number, and email address;

(2) The name of the foreign adversary, foreign-supported political organization, or legal entity as described in § 3-6-401(b)(1)(A)(iii) or (iv) which the agent represents, and the names, titles, and business addresses of all officers or directors thereof, including name, telephone number, and email address of the agent's immediate director;

(3) A comprehensive statement of the nature of the registrant's business, including a detailed statement of the registrant's existing and proposed political activity and the nature and method of performance of such political activity;

(4) Copies of each written agreement or the terms and conditions of each oral agreement, where no written agreement exists;

(5) A comprehensive statement of all the circumstances detailing the process by which the registrant came to be an agent of a foreign adversary;

(6) The name and business address of each member of the agent's immediate family who is an official within the legislative or executive branch;

(7) The extent of each direct business arrangement or partnership between the agent and a candidate for public office or an official in the legislative or executive branch; and

(8) Any other information that the Tennessee ethics commission, having due regard for national security and the public interest, may require.

(d) Throughout the year, by amendment filed with the Tennessee ethics commission, each agent of a foreign adversary shall update, correct, or otherwise modify the agent's registration statement no later than seven (7) days following the occurrence of an event, action, or changed circumstance that renders the registration statement inaccurate or incomplete.

(e) Within ten (10) days following the conclusion of quarterly periods ending March 31, June 30, September 30, and January 15, each agent of a foreign adversary shall file an additional statement with the ethics commission of all compensation or contributions received and all expenditures made by or on behalf of the agent in connection to the agent's political activities during the reporting period.

(f) An agent of a foreign adversary shall, within thirty (30) days of registration, submit a nonrefundable registration fee to the Tennessee ethics commission in the form and manner directed by the commission in the amount of one hundred fifty dollars (\$150) for each entity listed in § 3-6-401(b)(1) with whom the agent is engaged as an agent of a foreign adversary.

3-6-403. Prohibited conduct.

An agent of a foreign adversary is prohibited from the same conduct as a lobbyist pursuant to §§ 3-6-304 and 3-6-305.

3-6-404. Penalties for violation – Authority of Tennessee ethics commission – Role of attorney general and reporter.

(a) Upon receipt of a complaint that an agent of a foreign adversary or a foreign-supported political organization has failed to comply with this part, or upon its own determination, the Tennessee ethics commission must investigate and assess penalties for the violation of this part.

(b) The Tennessee ethics commission shall assess penalties up to and including the following:

(1) For any violation, up to five hundred dollars (\$500) per infraction; and

(2) For willful or repeated violations, up to ten thousand dollars (\$10,000) per infraction and, if the violator is an attorney, a reference of the matter to the Tennessee supreme court for disbarment.

(c) The Tennessee ethics commission may refer any matter to the attorney general and reporter for further civil or criminal action.

(d) Upon receipt of a complaint that an agent of a foreign adversary or a foreign-supported political organization has failed to comply with this part, or upon its own determination, the attorney general and reporter is authorized to:

(1) Investigate any suspected violation of this part;

(2) Issue subpoenas and compel the production of documents; and

(3) Initiate civil or criminal actions to enforce compliance.

3-6-405. Registration of foreign-supported political organizations.

(a) No later than July 1, 2026, each foreign-supported political organization shall register with the Tennessee ethics commission and provide the following information:

(1) The name of the organization, its business address, and the names, titles, and addresses of all officers and directors of the organization;

(2) If the organization is affiliated with, or a chapter of, a national organization, the name of the national organization, its address, and the names and addresses of its officers and directors;

(3) A detailed statement of any expenditures of money or other things of value made by the organization within the prior calendar year to influence any agency or public official of this state, any local governmental entity within this state, or the public within this state with reference to formulating, adopting, or changing the policies or laws of this state or electing a candidate to local or state public office; and

(4) A detailed statement of all money or other things of value received by the organization from a foreign adversary or an agent of a foreign adversary during the preceding calendar year.

(b) The Tennessee ethics commission shall require a registered foreign-supported political organization to update the information required by this section at least annually.

(c) Registration statements filed pursuant to this section are public records and must be available for inspection during normal business hours of the Tennessee ethics commission.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. If any provision of this act or the application of any provision of this act to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of this act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 4. This act takes effect July 1, 2026, the public welfare requiring it.